

Quantitative Monographs

Southbound and global: a quant lens on who is the smart money in the Hong Kong market

Equities

Global

Quantitative

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Liquidity and dispersion improving driven by Southbound

Both market capitalisation and liquidity have traditionally been concentrated within large caps in Hong Kong's equity market. However, since Q424, we have observed a significant increase in liquidity flowing into smaller-cap bands, indicating that a broader universe in the Hong Kong market has become more tradable, especially for investors who are sensitive to trading costs and capacity. With this improvement in liquidity, return dispersion has also picked up, suggesting more alpha opportunities for stock picking investors. We believe this is partially driven by the growing trading activities and high retail investor participation ratio via the Southbound Stock Connect Scheme.

Southbound: active or passive? institutional or retail?

While the Southbound investors have been growing in significance in the Hong Kong market, the accelerated inflows have been partially coming from passively-managed cross-border ETFs which have been well-acknowledged by retail investors from onshore China. Over the past year, this has changed the dynamics of Southbound flows, which have traditionally been driven more by active trading. Therefore, despite the accelerated inflows, Southbound investors' stock picking efficacy in aggregate has been fading since 2025. Removing the passive fund flows however, we are still able to extract the actively managed idiosyncratic stock ideas from the Southbound positioning data to generate more consistent alpha.

Alpha from investor cohorts: both Southbound and global participants

In addition to ex-ETF Southbound flows, we also incorporate insights from the top 20 best performing participants on a dynamic rolling basis, including both brokers and custodian banks in the Hong Kong market, and our proprietary UBS Comprehensive Crowding Factor. These multiple sources of information result in a more consistent and less volatile strategy that has generated an annualised excess return of 12% per annum since 2019, from the long side, with a risk-adjusted return at 1.7, and a maximum drawdown of only 6%.

Executive Summary

- **What's changed in the Hong Kong market structure in recent years?**
 - Southbound Stock Connect Scheme has grown its coverage to most of the investable universe in Hong Kong's equity market. More than 80% of market capitalisation in Hong Kong has been accessible via the scheme, including up to 569 names with relatively large market cap and ample liquidity.
 - Interestingly, we have observed an **increase in liquidity** flowing into a broader universe in the Hong Kong market, to the relatively small-cap bands, starting from Q424, particularly driven by the more active trading activities within the Southbound universe.
 - With the increasingly ample liquidity, both return dispersion and **alpha opportunities** in the market have also picked up, which we believe has been partially driven by the active trading activities from onshore Chinese retail investors in the Southbound scheme.
 - The level of alpha has generally picked up since Q424, as reflected by the excess returns generated by a generic single factor such as size (market cap), value (book/price) and low-risk (12-month volatility), up to more than 20% per annum.

Executive Summary

- **Emerging passive flows in Southbound**

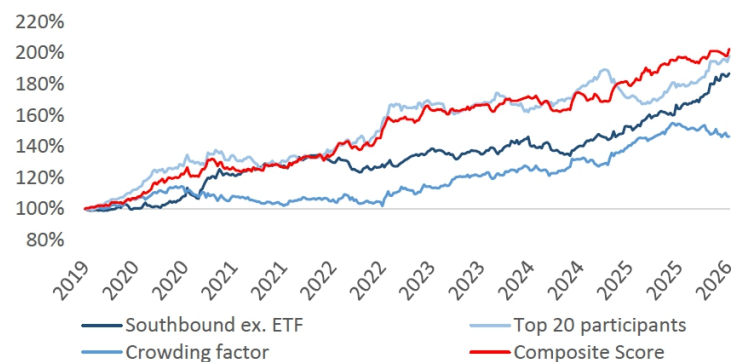
- To have a better understanding of the investor landscape in the Hong Kong market, we investigate a tale of two cohorts including Southbound investors from onshore China versus overseas and local investors from Hong Kong market.
- The market share of Southbound investors has been steadily growing, but a shift from active to passive has emerged progressively starting from end of 2024, with ETF holdings accounting for more than 10% of all Southbound shareholdings as of January 2026.
- Therefore, despite the accelerated inflows, Southbound investors' stock picking efficacy in the Hong Kong market has been fading away since then.
- Removing the passive fund flows however, we are still able to **extract the actively-managed idiosyncratic stock ideas from the Southbound** positioning data to generate more consistent alpha.

Executive Summary

• Capturing alpha from investor cohorts

- Southbound investors from onshore China have been generally overweight in high-volatility names in the sectors such as information technology, whilst global participants tend to favour value stocks with high dividend yield in sectors of utilities and communication services.
- Considering the low correlation between investor cohorts, we use an augmented model to bring in the diversification. We devised the **HK Composite Ownership Factor**, to capture the information content from below three sources, and the diversification results in a more consistent and less volatile strategy.
 - **Southbound ex. ETF**: actively-managed investors from onshore China
 - **Top 20 participants**: best performing participants among overseas and local HK investors over a rolling 52-week window
 - **UBS Crowding Factor**: proprietary combination of multiple datasets quantifying global institutional investors' positions in the Hong Kong market

Figure 1: Performance of the top portfolios from each investor cohort



Source: DataYes, FactSet, UBS Quant Research; Note: the above chart shows the backtest results run within an investable universe in the Hong Kong market, cross-sectionally sorted into three baskets based on the corresponding type of investors' positions and flows, on a weekly basis. The performance is the cumulative excess returns of the top positions from each investor type, relative to the cap-weighted universe benchmark.

Figure 2: Performance statistics of the top portfolios from each cohort

	Southbound ex. ETF	Top 20 participants	Crowding factor	Composite score
Annualised Return	10%	12%	6%	12%
Annualised Volatility	8%	8%	8%	7%
Risk-adjusted Return	1.3	1.5	0.8	1.7
Maximum Drawdown	-8%	-12%	-11%	-6%
Weekly Turnover	45%	57%	51%	35%
Average Liquidity (US\$m)	46.5	52.3	53.7	56.9

Source: DataYes, FactSet, UBS Quant Research

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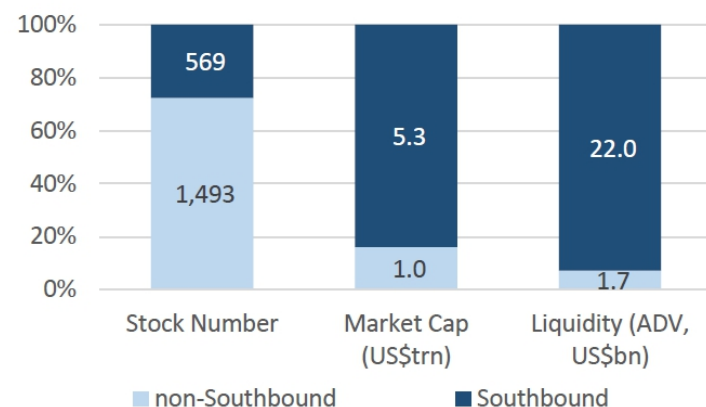
Section 2

A tale of two universes

Southbound vs. non-Southbound eligible names

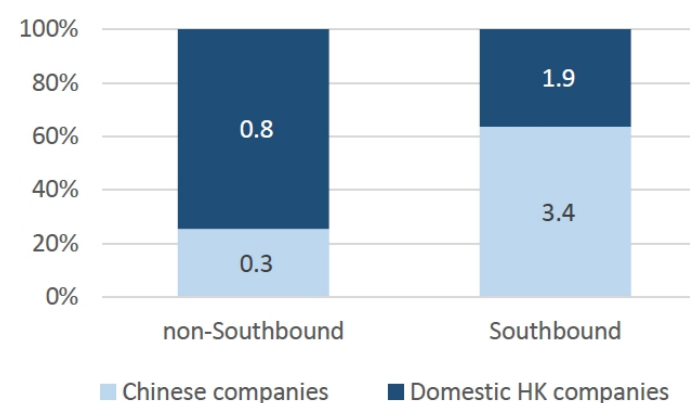
- After more than one decade of rapid development, Southbound has grown its coverage to most of the Hong Kong equity market's investable universe.
 - As of April 2026, there are 569 Southbound eligible names making up more than 80% of the float **market capitalization**. In liquidity terms, the trading activities for Southbound eligible names, including trading from both onshore China and overseas investors, now account for more than 90% of the total **daily value traded** across the entire market.
 - Moreover, we note that around 60% of the Southbound eligible names are Chinese companies, whilst within the non-Southbound universe, more than 70% originate from the local Hong Kong market.

Figure 3: Comparison of Southbound vs non-Southbound eligible companies listed in HK market



Source: DataYes, FactSet, UBS Quant Research; Note: above statistics are based on float market capitalisation as of April 2026.

Figure 4: Comparison of market capitalisation (US\$trn) by company region

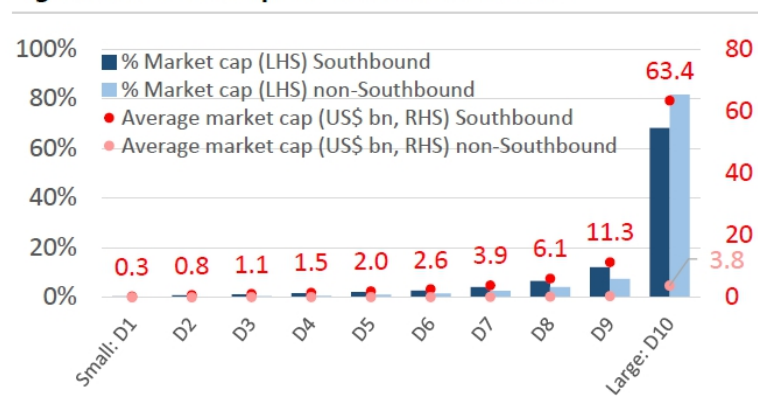


Source: DataYes, FactSet, UBS Quant Research; Note: above statistics are based on float market capitalisation as of April 2026.

Investable universe and market concentration

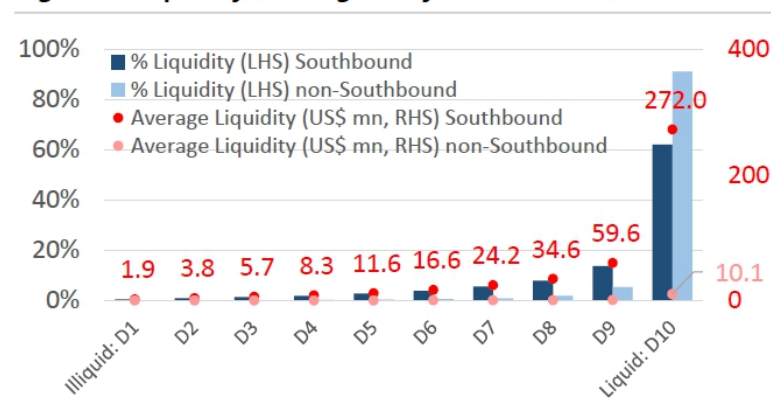
- Amongst both Southbound and non-Southbound names, market structure has been highly concentrated in the large caps and liquid names.
- In terms of distribution, **the largest 10% of large caps** by market capitalisation account, respectively, for more than 70% and 80% of the total market capitalisation within the Southbound and non-Southbound) universes, and **the top 10% most liquid names** represent, respectively, for more than 60% and 90% of market turnover.
- Within the top decile of each universe, by comparison, the average market capitalisation per stock amongst non-Southbound eligible names has been much smaller than those within Southbound universe (US\$3.8bn vs US\$63bn) and liquidity much lower (US\$10m vs US\$272m).

Figure 5: Market capitalisation distribution



Source: DataYes, FactSet, UBS Quant Research; Note: above statistics are based on float market capitalisation as of April 2026.

Figure 6: Liquidity (average daily value traded) distribution

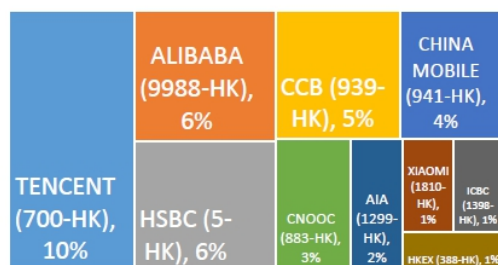


Source: DataYes, FactSet, UBS Quant Research; Liquidity is calculated based on average daily value traded (ADV) over the past 3 months, as of April 2026.

Investable universe and market concentration

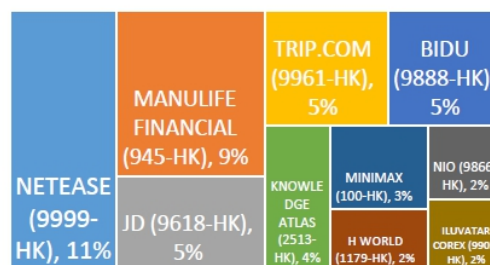
- We use a threshold of market capitalisation larger than US\$5bn and average daily value traded (ADV) higher than US\$5mn to screen out a fairly investable universe and to filter out extreme outliers. This naturally narrows the sample to around the top three deciles over time.
- The universes of both Southbound and non-Southbound eligible names have been highly concentrated in large caps, with the **top-10 largest companies** representing up to 41% and 48% of total market capitalisation.
- Within the top 10 names, in comparison, the index weights in the Hang Seng Tech Index (HSTECH) have been adjusted and are hence more balanced and diversified.

Figure 7: Top-10 large caps among Southbound names



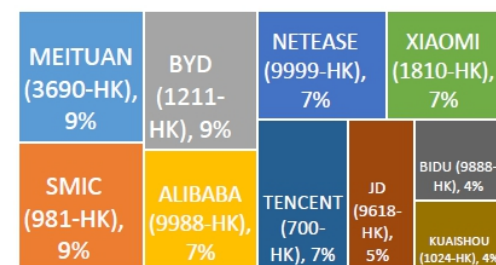
Source: DataYes, FactSet, UBS Quant Research

Figure 8: Top-10 large caps among non-Southbound eligible names



Source: DataYes, FactSet, UBS Quant Research

Figure 9: Top-10 large caps within HSTECH (index weights)

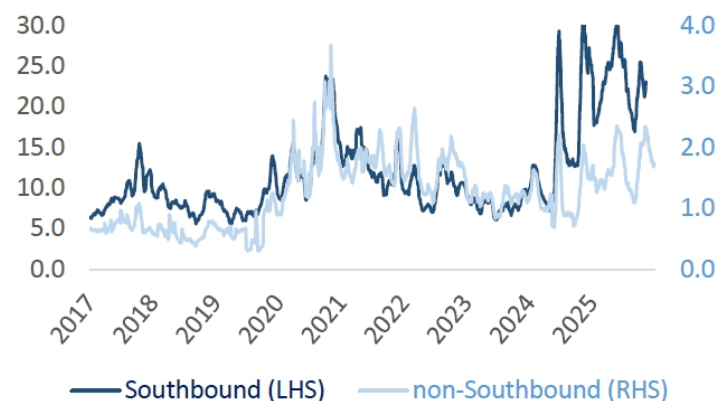


Source: DataYes, FactSet, UBS Quant Research

Liquidity is improving ...

- Due to a highly concentrated market structure, liquidity has historically been a **challenge** for small caps in the Hong Kong market. Both positions and flows used to be concentrated within large caps.
- However, we have observed a significant increase in liquidity flowing into the broader universe of the Hong Kong market **since Q424**, despite all the IPO issuances absorbing and diverting the existing market liquidity.
- By comparing Southbound and non-Southbound universes, we note that the increase in liquidity has been particularly driven by the rising trading activities within the **Southbound** eligible universe.

Figure 14: Daily market turnover (US\$bn) in Southbound universe vs non-Southbound

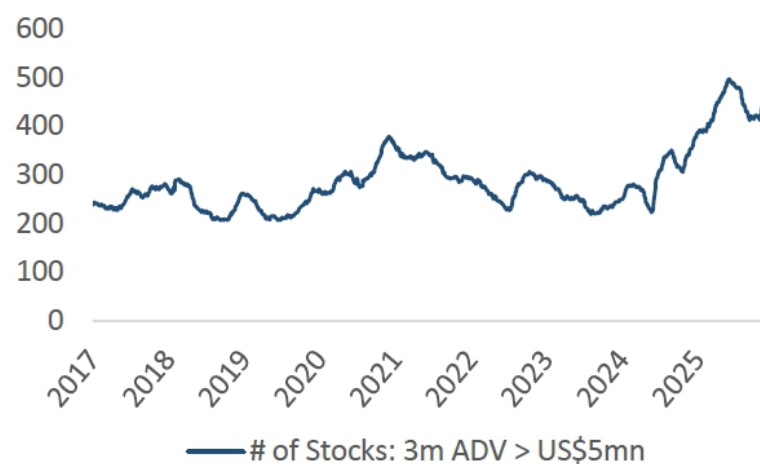


Source: DataYes, FactSet, UBS Quant Research

Liquidity is improving ...

- Using a three-month average daily value (3M ADV) traded of more than US\$5m as a threshold, it is evident that the number of active stocks in Hong Kong has expanded significantly from around 200 in 2024 to 500 now
- Indicating the Hong Kong market's broader universe has become **more tradable** over the past year, especially for investors that are sensitive to fund capacity and trading from a systematic perspective.

Figure 15: Number of stocks with an average daily value traded (3M ADV) of more than US\$5m

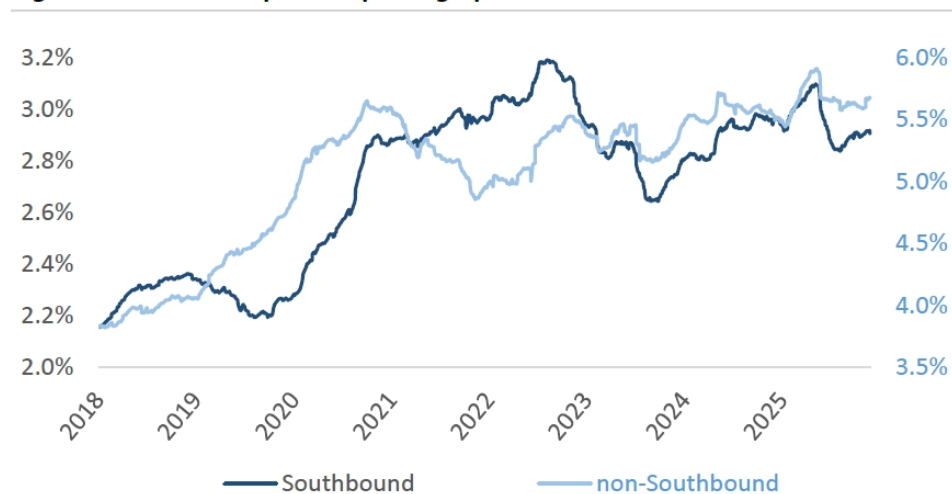


Source: DataYes, FactSet, UBS Quant Research

... along with the alpha opportunity

- With this increasingly ample liquidity, it is not surprising to see that dispersion in the market has also picked up.
- To better assess **alpha opportunities and return dispersion** in the Hong Kong market, we investigate the long-short performance based on a variety of traditional quant and fundamental factors within an investable scope and the changes in performance over the past decade.

Figure 16: Return dispersion picking up over time

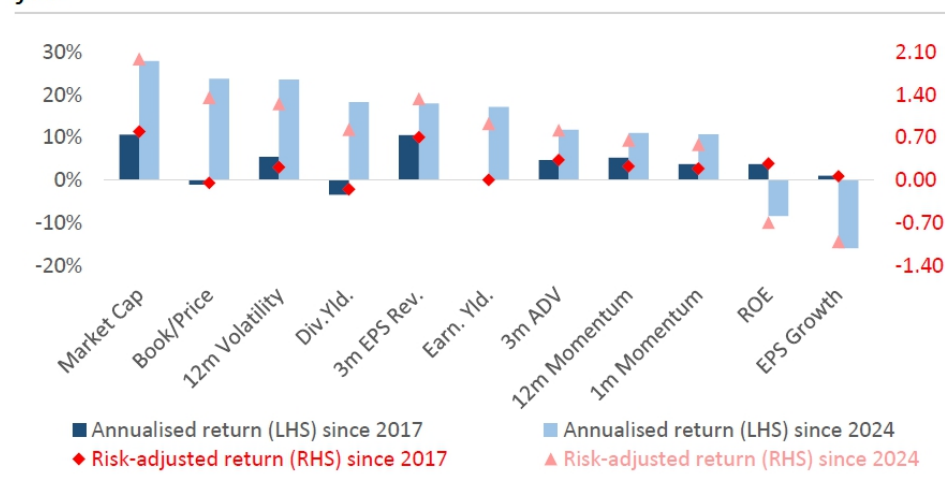


Source: DataYes, FactSet, UBS Quant Research. Note: Return dispersion is calculated based on daily returns and average over a rolling 12 months.

... along with the alpha opportunity

- The level of alpha has generally picked up since Q424, as reflected by the excess returns generated by a generic single factor such as size (market cap), value (book/price) and low-risk (12-month volatility), up to **more than 20% per annum**.
- We believe that it implies a higher level of alpha opportunities, partially driven by the relatively high proportion of **retail investor participation** among Chinese investors who trade Hong Kong listed companies via the Southbound stock connect scheme.

Figure 19: Style performance in HK market in the past decade and the past one year

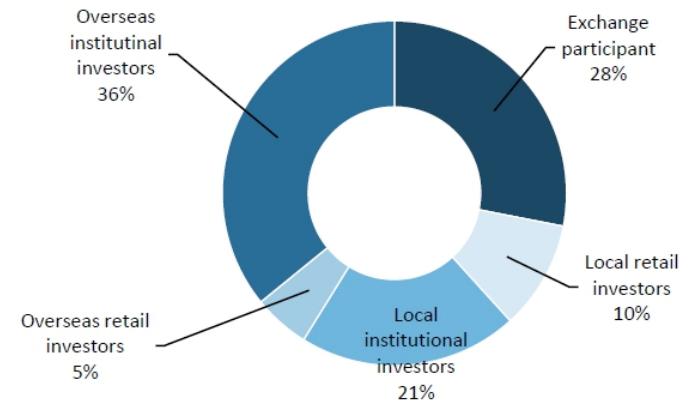


Source: FactSet, UBS Quant Research; Note: Backtest is run within an investable universe in HK market, including both Southbound and non-Southbound eligible names. To be specific, we use a threshold of market capitalisation larger than US\$5bn and average daily value traded (ADV) higher than US\$5mn to screen out a fairly investable universe and to filter out extreme outliers. On weekly basis, we sort the universe into three baskets based on the single factor scores and calculate the performance on a long-short basis.

Driven by retail ratio in Southbound

- According to disclosure by Hong Kong Exchange (HKEX), local and overseas retail investor participation in Hong Kong market accounted for a combined **15% of market turnover in 2020**, significantly less than the 60% in China's A-share market at the same time period, based on UBS estimation.
- Within regional markets in Asia, the share of retail participation has also been fairly low, if not the lowest.
- Compared with around 25% in developed markets, such as Japan, and more than 50% in emerging markets, including Taiwan and Korea markets, according to disclosures from stock exchanges.

Figure 17: Retail investor proportion is small in HK market in 2020, trading value break down by investor type

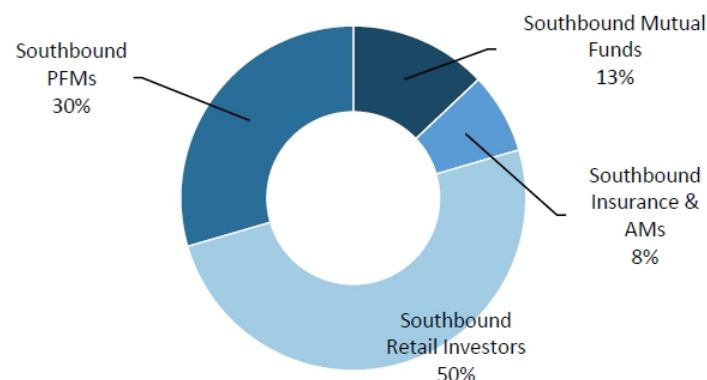


Source: Hong Kong Exchange, UBS Quant Research. Note: Data is based on trading value in 2020, Exchange Participant is trading on the EP firm's own account, Overseas investors are individual/retail investors residing outside Hong Kong or institutional investors operating outside Hong Kong, with the source of funds overseas.

Driven by retail ratio in Southbound

- Retail investors have accounted for around 45-55% of Southbound turnover, which equates to **10-15% of total Hong Kong market turnover**, based on UBS estimates.
- Retail investors from onshore China, especially the **high-net-worth individuals**, have been trading more actively in HK market via the Southbound channel. Among all retail investors, there is a minimum Rmb0.5m capital requirement per account to trade through Stock Connect, and fewer than 5% of onshore retail accounts meet the requirement.
- As more **cross-border Southbound ETF products** are launched, we expect these ETF products to be favoured by retail investors as there will be no requirement for a minimum value per account to trade them, in addition to stamp duty exemptions.

Figure 18: Trading value by investor type, break down within Southbound Stock Connect in 2026

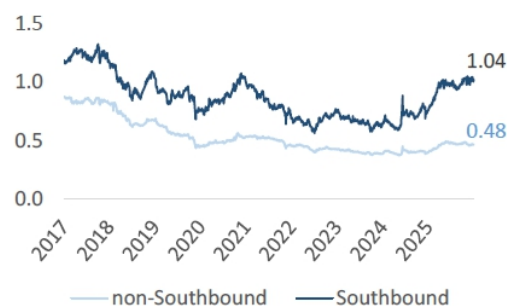


Source: DataYes, HKEX, CCASS, UBS ET. Note: Data is based on weekly turnover over April 2026. Numbers are collected as weekly % of total amount of Hong Kong stocks and ETFs, on Southbound trading days only.

Fundamental profiles

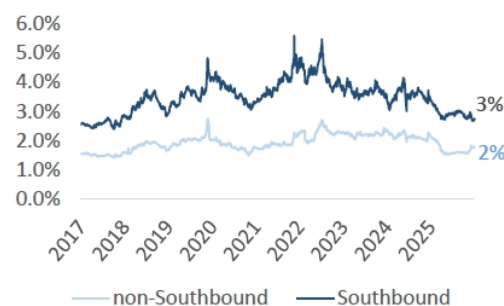
- In addition to market structure, we also observe notable distinctions between the fundamental profiles of Southbound and non-Southbound eligible names.
- The valuation of Southbound shares has almost doubled that of non-Southbound shares, based on their average price-to-book ratios, partially driven by relatively high and much more stable growth prospects over the past decade.
- In terms of shareholder returns, by comparison, Southbound names paid dividend yields of more than 5% in 2022-23, while non-Southbound dividend yields have stayed at a consistently lower level of around 2%.

Figure 10: Price/Book



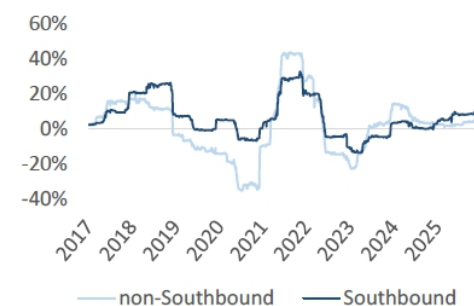
Source: DataYes, FactSet, UBS Quant Research

Figure 11: Dividend Yield



Source: DataYes, FactSet, UBS Quant Research

Figure 12: EPS Growth

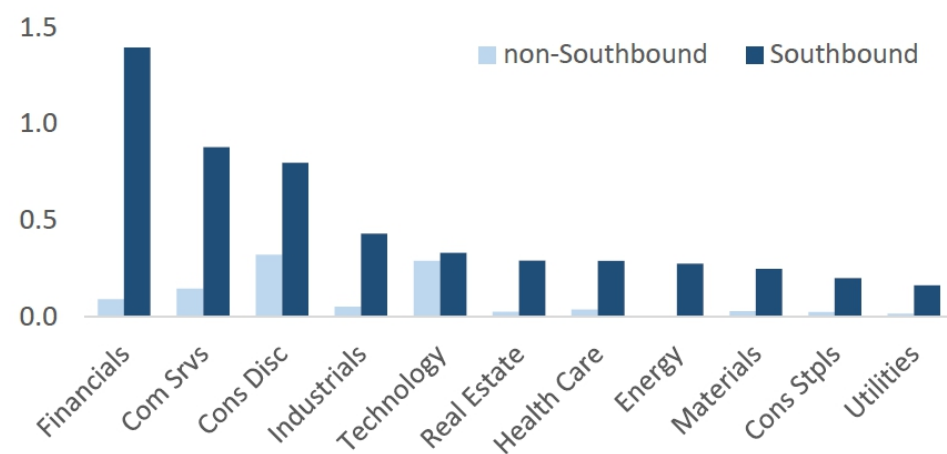


Source: DataYes, FactSet, UBS Quant Research

Fundamental profiles

- Sector-wise, Southbound universe has been dominated by sectors such as **financials, communication services and consumer discretionary**, considering the high concentration in large-cap stocks such as HSBC (5.HK), Tencent (700.HK) and Alibaba (9988.HK).
- The non-Southbound universe is more diversified across the four largest sectors, namely consumer discretionary, information technology, communication services and financials. The exposure to **information technology** is comparatively high in the non-Southbound universe, driven by the AI rally including Minimax (100.HK) and Knowledge Atlas (2513.HK) which have been recently listed in HK.

Figure 13: Market capitalisation (US\$trn) by sector



Source: DataYes, FactSet, UBS Quant Research

Section 3

Investor landscape

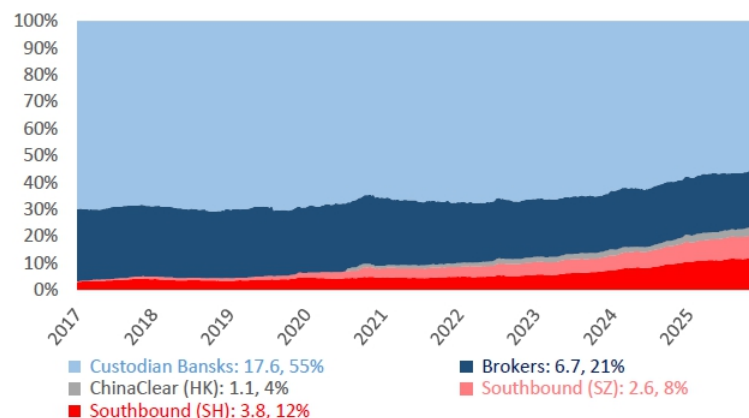
Investor landscape

- CCASS is the automated electronic settlement platform operated by the Hong Kong Securities Clearing Company (HKSCC), facilitating the clearing and settlement of all transactions in Hong Kong market, on a T+2 settlement cycle, including the transactions via the Southbound Stock Connect scheme.
- In CCASS, there are mainly three types of clearing participants: custodians, brokers and China Securities Depository and Clearing Corporation (ChinaClear).
 - **ChinaClear:** ChinaClear assumes the settlement obligations for trades from Southbound investors, who are *qualified investors from onshore China who access Hong Kong shares via the Southbound Stock Connect scheme*. There are in total five participant IDs for ChinaClear which all start with 'A', holding up to 24% of the total market value as of April 2026.
 - **Brokers:** Clearing participants who are using participant IDs starting with 'B' are brokers. Broker participants work with overseas and Hong Kong domestic investors to settle their security holdings in the Hong Kong market. As of April 2026, their total shareholdings consist of 21% of the total value of the market.
 - **Custodian banks:** Clearing participants with a participant ID that starts with 'C' are custodian banks. They also process the clearing and settlement for overseas and Hong Kong domestic investors, accounting for the rest 55% of total market value.

Southbound is growing

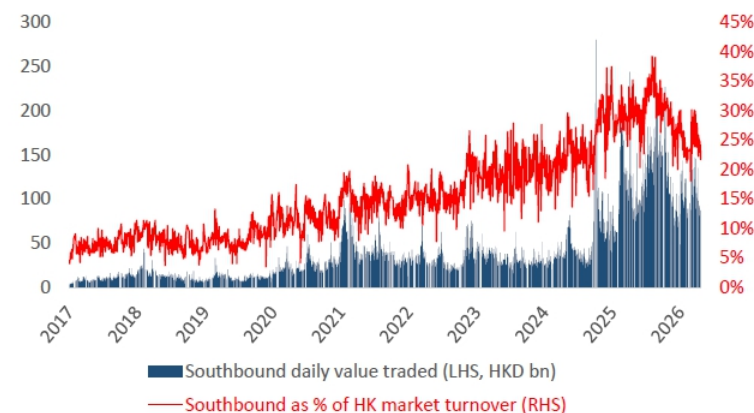
- The total market value of Southbound shareholdings has steadily increased to HK \$6.4trn as of April 2026, recently **exceeding** that of broker participants working with overseas and local investors.
- In terms of trading activity, total daily value traded in the Hong Kong market has been around HK\$200bn as of latest, picked up from HK\$100bn in 2023, out of which **one third** has come from Southbound participants.

Figure 20: Market value (HK\$trn) of shareholdings by participant type in HK market



Source: DataYes, FactSet, UBS Quant Research

Figure 21: Southbound daily value traded as % of HK market turnover

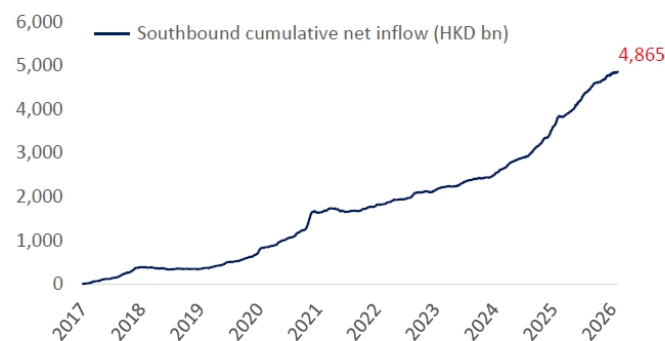


Source: DataYes, FactSet, UBS Quant Research

Southbound is growing

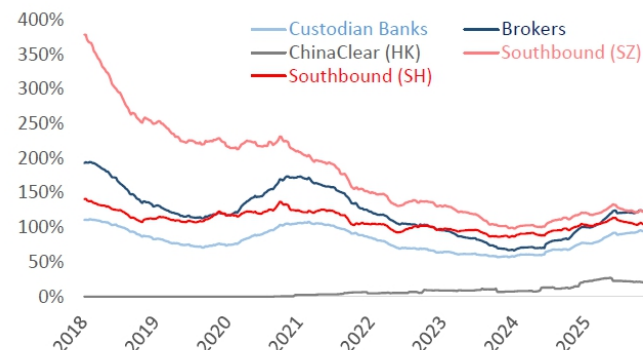
- Since 2017, the **net inflow** from Southbound Stock Connect has totalled nearly HK\$5trn on a cumulative basis, consistent with findings on the scheme's growing significance in the market.
- In terms of trading behaviour, overseas and local Hong Kong investors settling through custodian banks have been consistently slower in terms of trading frequency. Interestingly, Shenzhen Southbound used to be **fast money** as reflected by its annualized turnover up to 400%, which was much higher than that of overseas and local Hong Kong investors in the earlier years.
- Over recent years, however, trading behaviour has in fact **converged** across investor cohorts. In the following sections, we explore how the evolution of the underlying investor landscape is driving the convergence and associated changes in pricing power in the market.

Figure 22: Cumulative net inflow into HK market via Southbound (HK\$bn)



Source: DataYes, FactSet, UBS Quant Research

Figure 23: Fast or slow money: annualised turnover ratio by participant type

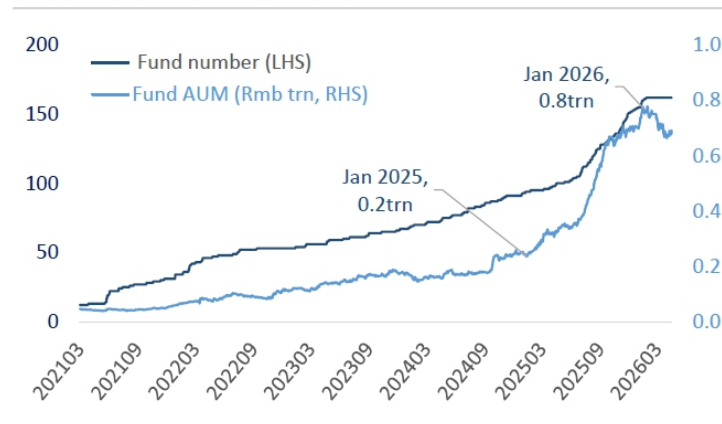


Source: DataYes, FactSet, UBS Quant Research

But shifting from active to passive

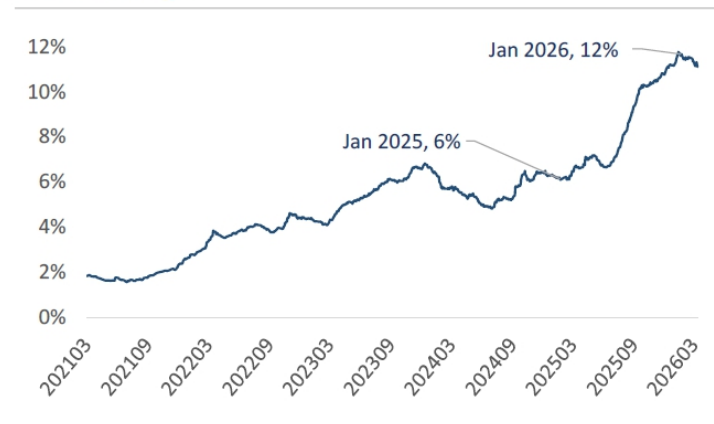
- We review the development of ETF franchise in onshore China mutual fund industry, especially those ETF products that are listed on the Shanghai and Shenzhen stock exchanges but investing in the Hong Kong market. It is evident this ETF segment has grown in terms of both fund number and total assets under management (AUM).
- To better assess the investor structure, we further cross check the total shareholdings with shareholdings specifically held by ETFs. Driven by **the increasing share of cross-border ETFs** launched by onshore Chinese mutual funds, Southbound flows and positions have shifted from actively managed to passively managed funds. This shift accelerated from Q424. The percentage of shareholdings held by passive funds has more than doubled since then and peaked at 12% last year.

Figure 24: China onshore ETFs investing in HK market, fund number and total AUM



Source: DataYes, FactSet, UBS Quant Research

Figure 25: ETF holdings as % of all Southbound shareholdings

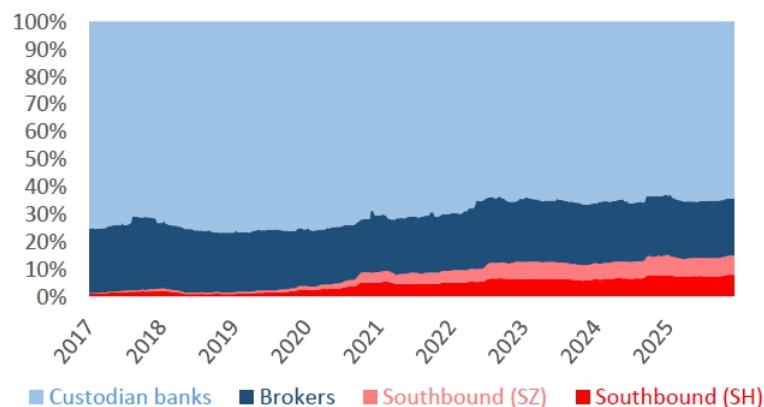


Source: DataYes, FactSet, UBS Quant Research

But shifting from active to passive

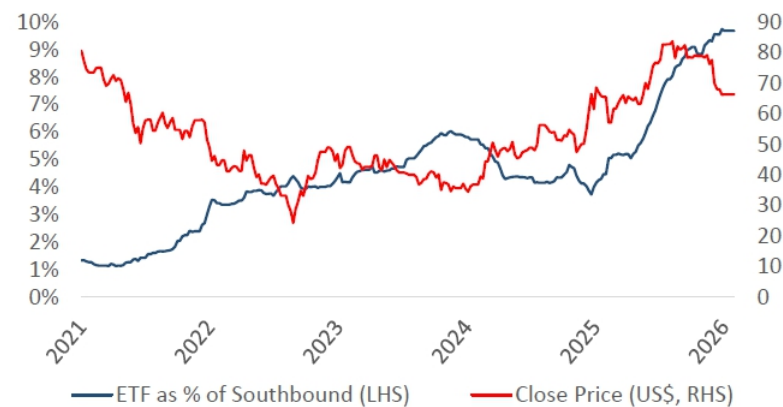
- As shown in the previous section, Tencent (700.HK) is the largest name in terms of market cap in the Southbound universe. The percentage of Tencent's shares outstanding held by Southbound investors has been growing steadily and reached 12% last month, approaching the 16% held by broker participants.
- Of the total Southbound holdings of Tencent shares, the percentage held by passive ETF products increased from only 5% in 2024 to 10% by end of 2025, consistent with investor preferences shifting from active to passive.

Figure 26: Shareholding breakdown by investor type for Tencent (700.HK)



Source: DataYes, FactSet, UBS Quant Research

Figure 27: ETF holdings as % of all Southbound shareholdings in Tencent (700.HK)

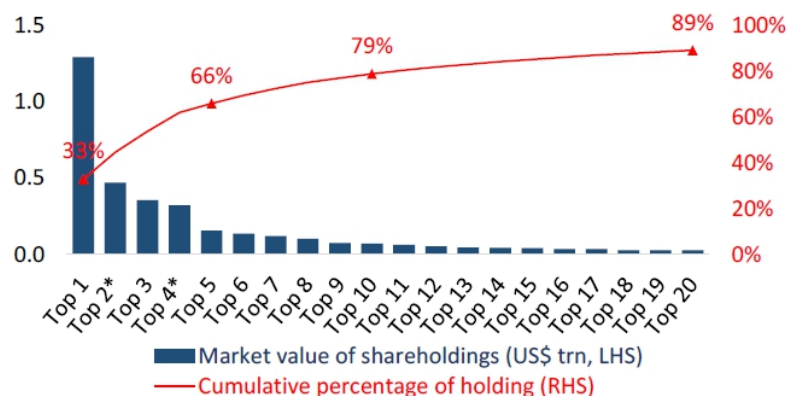


Source: DataYes, FactSet, UBS Quant Research

Concentration is high among leading participants

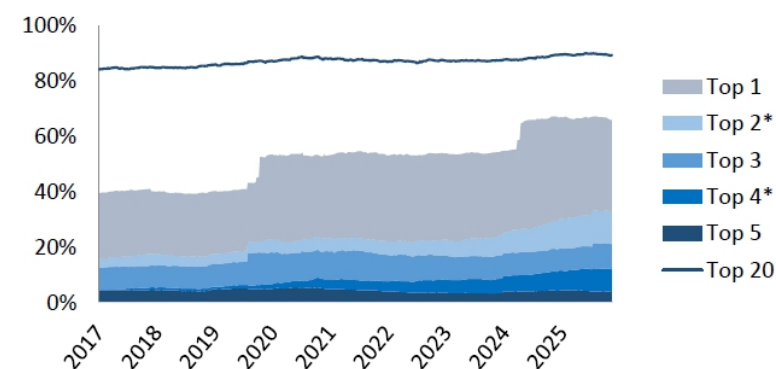
- We deep-dive into broker participation and custodian banks to better understand the investor landscape among overseas and local Hong Kong investors.
- It is evident that clearing participation in the Hong Kong market has an oligopolistic structure with high concentration among leading participants. **The 20 largest participants holding nearly 90%** of the total market capitalisation, the top-10 account for 80%, and the top-5 almost 70%.
- Among the top five clearing participants, two are ChinaClear participants, processing transactions from Southbound investors via Shanghai and Shenzhen correspondingly.

Figure 28: Largest participants by market value



Source: DataYes, FactSet, UBS Quant Research; Note: Top 2 is Southbound Shanghai and top 4 is Southbound Shenzhen, based on the latest snapshot as of April 2026.

Figure 29: Shareholding % of largest participants

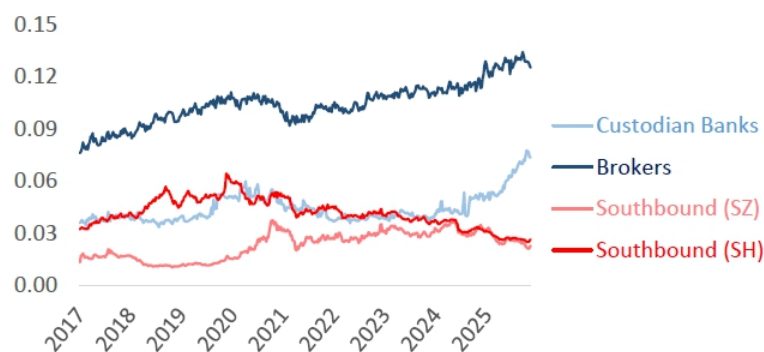


Source: DataYes, FactSet, UBS Quant Research; Note: Top 2 is Southbound Shanghai and top 4 is Southbound Shenzhen, based on the latest snapshot as of April 2026.

Investment preferences by market participant

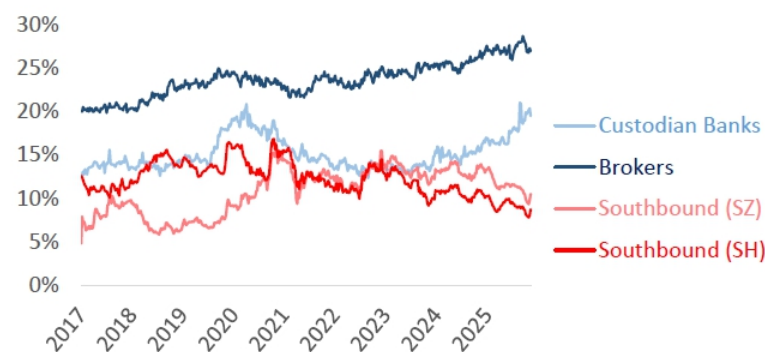
- We devised two proxies to profile their holding concentration
 - **Herfindahl-Hirschman Index (HHI)**: measures the concentration of a stock amongst all holdings of a participant; a value of HHI close to 1 implies that one stock is dominant in all holdings.
 - **Top-1 Share**: quantifies the proportion of shares or market value associated with the single largest position relative to all positions held by the participant.
 - The average holding concentration among broker participants has been significantly higher than that of either custodian banks or Southbound investors.
 - There are only 40 custodian banks but more than 500 broker participants in the Hong Kong market, so presumably some of those small brokers are holding highly concentrated positions.

Figure 30: Holding concentration by Herfindahl-Hirschman Index (HHI), average by participant type



Source: DataYes, FactSet, UBS Quant Research

Figure 31: Top-1 Share as % of total holding, average by participant type



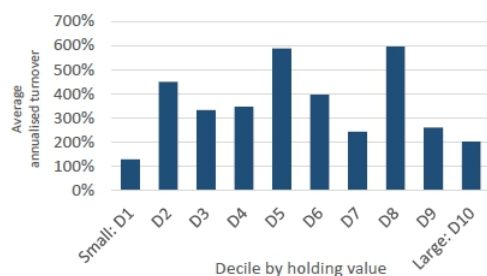
Source: DataYes, FactSet, UBS Quant Research

- See '[Insights and Implications from ETF Flows](#)' for more details about our methodology and formulas .

Investment preferences by market participant

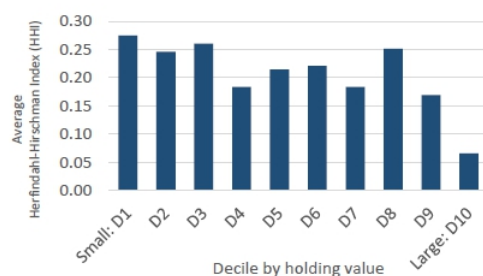
- To provide a comprehensive view of the clearing participants in Hong Kong, we sort the 500+ accounts into ten deciles, according to the market value of their total shareholdings
 - In terms of the concentration within each participant positions, only the top decile large participants would have **diversified** allocations whilst the smaller ones generated an average HHI ranging from 0.15 to 0.3.
 - In terms of turnover, some deciles of participants have exhibited fast trading behaviour of up to 700% annualised turnover on average. In comparison, neither the smallest or the largest deciles are **fast money**.
 - Lastly, market share has been **concentrated** in leading names. The average holding value in the top decile has been almost US\$100bn, but in the second decile the average holding value quickly drops to US\$1bn, and the average in the bottom is less than US\$1mn.

Figure 32: Neither smallest (D1) or largest (D10) deciles are fast money



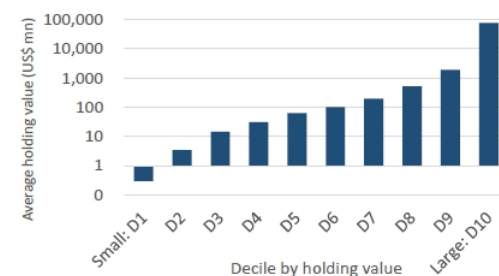
Source: DataYes, FactSet, UBS Quant Research

Figure 33: Small clearing participants have concentrated holdings



Source: DataYes, FactSet, UBS Quant Research

Figure 34: Concentrated market share amongst large participants



Source: DataYes, FactSet, UBS Quant Research

Section 4

What works in Hong Kong market?

Southbound

- CCASS is the automated electronic settlement platform operated by the Hong Kong Securities Clearing Company (HKSCC), facilitating the clearing and settlement of all transactions in Hong Kong market, on a T+2 settlement cycle, including the transactions via the Southbound Stock Connect scheme.
- In CCASS, there are mainly three types of clearing participants: custodians, brokers and China Securities Depository and Clearing Corporation (ChinaClear).
 - **ChinaClear:** ChinaClear assumes the settlement obligations for trades from Southbound investors, who are *qualified investors from onshore China who access Hong Kong shares via the Southbound Stock Connect scheme*. There are in total five participant IDs for ChinaClear which all start with 'A', holding up to 24% of the total market value as of April 2026.
 - **Brokers:** Clearing participants who are using participant IDs starting with 'B' are brokers. Broker participants work with overseas and Hong Kong domestic investors to settle their security holdings in the Hong Kong market. As of April 2026, their total shareholdings consist of 21% of the total value of the market.
 - **Custodian banks:** Clearing participants with a participant ID that starts with 'C' are custodian banks. They also process the clearing and settlement for overseas and Hong Kong domestic investors, accounting for the rest 55% of total market value.

Southbound

- Over the past years, we have launched a [model](#) tracking Southbound investors' stock picking skills in the Hong Kong market. By capturing the information content in their holdings and fund flows, we identified the idiosyncratic stock views and extract the active insights relative to benchmark:
 - **Active weights (ActWgt):** For each stock, we calculate investor weights minus market cap benchmark weights to quantify investor views by overweights and underweights relative to the market capitalisation benchmark.
 - **Change in active weights (Chg in ActWgt):** Week-over-week changes in active weights, indicating changes in investor views and how much they trade around their positions.
 - **Composite score:** We combine information content from both positioning and trading, using an equal-weighted average of the percentile rankings of active weights and changes in active weights.
- Southbound investors have displayed alpha-generating stock picking skills up to last year, when we started to see alpha fading. The composite score based on all Southbound has generated an long-short return of 12% per annum since 2017, but the performance has decreased to -1% since 2025.

Southbound alpha pullback since 2025

- Based on our findings in the previous sections, we note that despite the increasing significance, the accelerated Southbound inflows have been mostly driven by passively-managed ETF funds over the last year.
- The total AUM of Southbound ETFs picked up by Rmb0.6trn in 2025, pushing up the ETF share of Southbound holdings from 6% to 12%. Given the shift from active to passive investing, it is not surprising that **model efficacy has decreased**.

Figure 35: Comparison between active and passive Southbound flows

		Southbound ETF			Southbound			Southbound ex. ETF		
		Low	High	H-L	Low	High	H-L	Low	High	H-L
since 2017	Annualised Return	-4.1%	-0.6%	2.7%	-5.9%	6.9%	12.8%	-4.3%	8.7%	12.6%
	Annualised Volatility	7%	7%	13%	8%	7%	12%	8%	7%	13%
	Risk-adjusted Return	-0.5	-0.1	0.2	-0.8	1.0	1.0	-0.5	1.2	1.0
	Maximum Drawdown	-22%	-14%		-16%	-12%		-19%	-8%	
	Weekly Turnover	3%	2%		52%	43%		51%	44%	
	Average Liquidity (US\$m)	34.7	139.9		60.6	97.0		71.6	85.4	
since 2025	Annualised Return	5.4%	-16%	-22%	-2.5%	-2.2%	-1%	-9.4%	23.5%	35%
	Annualised Volatility	10%	9%	17%	8%	8%	14%	9%	9%	15%
	Risk-adjusted Return	0.6	-1.7	-1.3	-0.3	-0.3	0.0	-1.1	2.7	2.3
	Maximum Drawdown	-22%	-14%		-12%	-12%		-18%	-3%	
	Weekly Turnover	5%	5%		46%	46%		46%	46%	
	Average Liquidity (US\$m)	63.9	172.8		97.7	141.7		132.7	105.7	

Source: DataYes, FactSet, UBS Quant Research

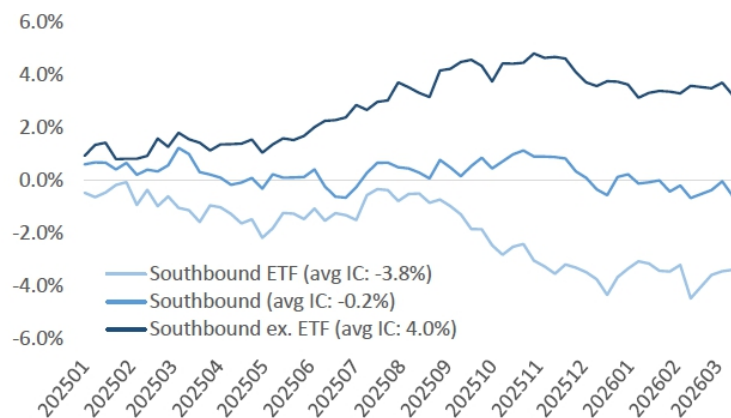
ETFs act as an exit signal

- To better proxy the structural change going on, we further explore how to quantify the insights from passive Southbound ETFs. In an earlier [note](#), we examined a series of stock-level metrics to define the ETF ownership, flow, concentration and liquidity risk.
- In this section, we leverage the measure of ETF ownership intensity as the number of shares (value) held by Southbound ETFs, for each Southbound eligible name, on a specific date, divided by the total shares outstanding (market cap) on the same date.
 - **Southbound ETF Ownership:** Market value of Southbound ETF shareholdings / total market capitalisation
- To construct this proxy, we mainly use two datasets to get the stock-level ownership, for HK listed stocks, from ETF products listed in onshore China:
 - 1) **the ETF net redemption (Fund ETF NR) dataset**, disclosed on daily basis, originally from Shanghai and Shenzhen Stock Exchanges, containing key indicators including fund size, fund shares, changes in shares, net redemption, and net asset value (NAV); and
 - 2) the stock-level holdings of each fund. As China onshore ETFs only disclose their holdings on a semi-annual basis, we extrapolate their daily positions from **the ETF daily constituent list (Fund ETF Cons)** of the underlying benchmark index tracked by each ETF.

Southbound ex. ETF: consistent alpha since 2025

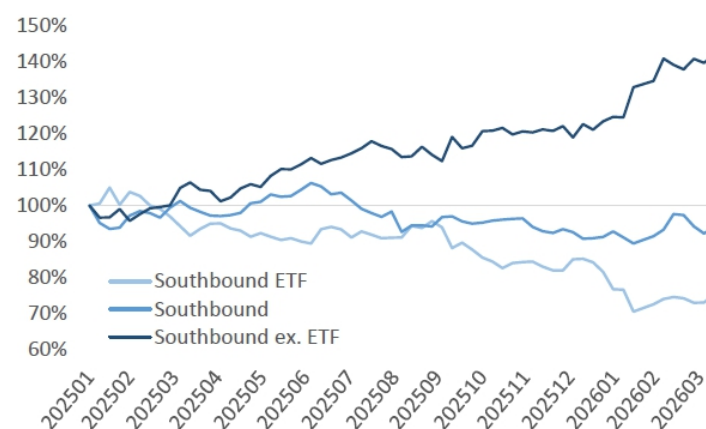
- With the growing popularity of passive funds from onshore China investing in the Hong Kong market, the average information coefficient (IC) of Southbound ETF ownership has been -4% since 2025.
- In the same period, the IC of all Southbound composite score has dropped to below zero, whilst excluding ETF positions, **the IC improves to 3.8% over the past year.**
- By excluding the passive funds' insights from all Southbound investors, the positions and flows based on Southbound excluding ETF investors would have generated **a more consistent performance, especially in recent years.**

Figure 36: Information coefficients (IC) of Southbound vs. ETF positions



Source: DataYes, FactSet, UBS Quant Research

Figure 37: Long-short performance based on Southbound vs. ETF positions



Source: DataYes, FactSet, UBS Quant Research

Southbound ex. ETF: consistent alpha since 2025

- The long-short annualised return has improved significantly to 35% from -6% since 2025, while over a longer history the excess returns delivered by all Southbound versus actively-managed investors' insights have been mostly similar, which is around 11-12% per year on a long-short basis.
- Another notable finding is that there has been a more than ten times difference between the **turnover** ratios of actively-managed and passively-managed Southbound funds. This helps explain the decline in the average trading frequency in Southbound over the recent years, which we observed in the previous section.
- ETFs materially influence market dynamics. Investor-driven ETF flows propagate into underlying securities, affecting stock-level pricing, co-movement, liquidity and short term return dynamics. These effects are central to modern market microstructure.
- Accordingly, in future work, we will investigate, in addition to ETF ownership, the implications of **ETF flows, concentration and liquidity risk** to better understand the interaction between active and passive fund flows in the Hong Kong market, and in China's A-share market, given the rapid development of ETF products in both onshore and offshore China markets.

Global participants

- CCASS is the automated electronic settlement platform operated by the Hong Kong Securities Clearing Company (HKSCC), facilitating the clearing and settlement of all transactions in Hong Kong market, on a T+2 settlement cycle, including the transactions via the Southbound Stock Connect scheme.
- In CCASS, there are mainly three types of clearing participants: custodians, brokers and China Securities Depository and Clearing Corporation (ChinaClear).
 - **ChinaClear:** ChinaClear assumes the settlement obligations for trades from Southbound investors, who are *qualified investors from onshore China who access Hong Kong shares via the Southbound Stock Connect scheme*. There are in total five participant IDs for ChinaClear which all start with 'A', holding up to 24% of the total market value as of April 2026.
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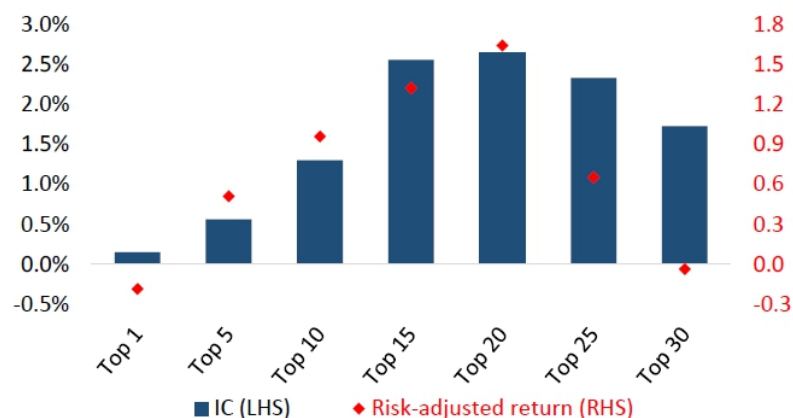
Top performers among global participants

- As discussed in previous sections, the investor landscape in the Hong Kong market has become a tale of two cohorts, consisting of Southbound investors from onshore China, and global investors from overseas or local Hong Kong.
- For Southbound, we found evidence for its growing significance in HK market in general, as well as the incremental popularity in passive flows accessing HK share via this trading channel, so we adopt the intuitive solution to enhance the model by tracking only the actively-managed flows in Southbound.
- In the next step, we re-calculate the composite scores based on only the top-N performers' positions, and re-run the long-short strategy as mentioned above.
 - Active weights (ActWgt)
 - Change in active weights (Chg in ActWgt)
 - Composite score
- Similarly, among overseas and local HK investors, we also attempt to **capture the top performers' insights**. We use a rolling 52-week look-back window, and at each week end, we screen out the top-N performing accounts with the highest ICs and risk-adjusted returns.

Top performers among global participants

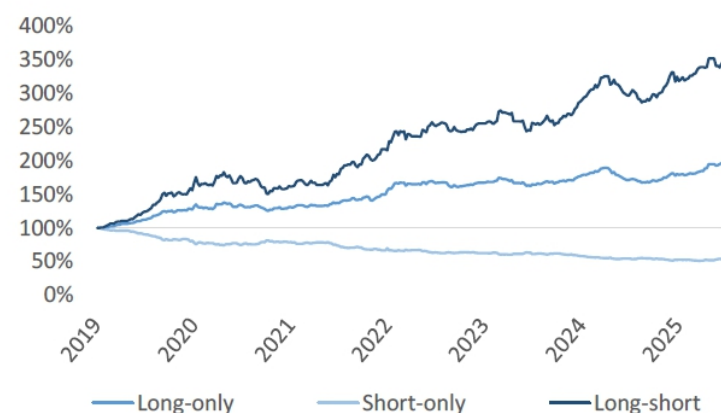
- Starting from the sample size of top 15 participants, the signals would generate an IC of 2-3%, and gradually decrease while we go beyond top 20.
- The risk-adjusted annualized return on a long-short basis peaked at 1.6 using the rolling top 20 outperformers' insights.

Figure 38: ICs and risk-adjusted returns based on top 1-30 outperforming participants



Source: DataYes, FactSet, UBS Quant Research

Figure 39: Strategy performance based on Top 20 outperforming participants



Source: DataYes, FactSet, UBS Quant Research

Top performers among global participants

- Throughout the top 11 to top 20 samples, the strategy performance has been fairly consistent, displaying an annualised return above 15% and a risk-adjusted return above 1.
- Strategy turnover gradually decrease while strategy performance fairly consistent.

Figure 40: Performance statistics from top 10 to 25 outperforming participants

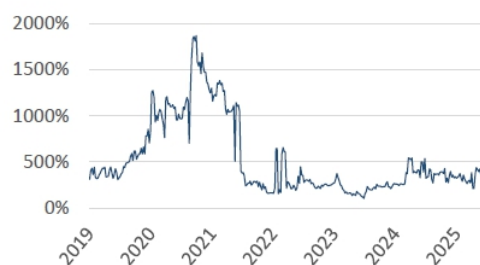
	Top 10	Top 11	Top 12	Top 13	Top 14	Top 15	Top 16	Top 17	Top 18	Top 19	Top 20	Top 21	Top 22	Top 23	Top 24	Top 25
Annualised Return	13.4%	23.4%	16.7%	19.9%	18.4%	17.5%	16.3%	17.3%	17.0%	18.6%	21.5%	18.7%	14.2%	15.5%	12.8%	10.0%
Annualised Volatility	14%	14%	13%	14%	13%	13%	14%	14%	14%	14%	14%	14%	14%	13%	14%	14%
Risk-adjusted Return	1.0	1.7	1.3	1.4	1.4	1.3	1.2	1.3	1.2	1.3	1.6	1.4	1.0	1.2	0.9	0.7
Maximum Drawdown	-27%	-16%	-12%	-16%	-19%	-14%	-19%	-20%	-15%	-16%	-18%	-19%	-21%	-17%	-19%	-22%
Weekly Turnover	50.1%	48.7%	48.1%	48.1%	48.3%	48.4%	44.3%	40.5%	41.8%	41.3%	39.2%	40.6%	37.2%	37.6%	35.8%	37.2%
Average Liquidity (US\$m)	106.1	107.0	106.6	105.4	105.7	106.0	106.3	105.6	105.4	106.1	105.5	105.8	106.2	105.6	104.8	105.0

Source: DataYes, FactSet, UBS Quant Research

Who are the top performers?

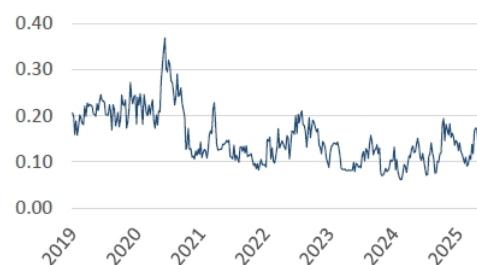
- **Fast money:** taking the top 20 participants as an example, the outperformers as of latest have delivered on average around **500% turnover per annum**, which falls into neither the largest (D10) participants nor the smallest (D1) decile sorted by holding value.
- **Concentrated holdings:** The **HHI is above 0.2** as of April 2026 indicating a relatively high concentration in holding.
- **Small participants:** In terms of market value, top performers have in general been **medium- and small-sized participants** rather than large ones. As of April 2026, the largest broker participant identified by our model had shareholdings totalling US\$6bn, while the average across the top 20 is only US\$10m.

Figure 41: Average annualised turnover of top 20 participants



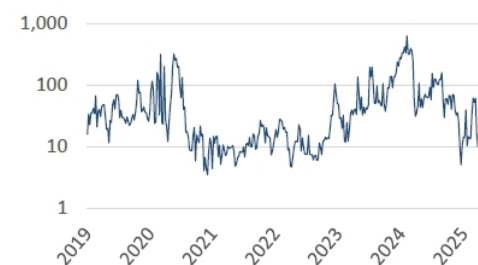
Source: DataYes, FactSet, UBS Quant Research

Figure 42: Average HHI of top 20 participants



Source: DataYes, FactSet, UBS Quant Research

Figure 43: Average holding value (US \$mn) of top 20 participants



Source: DataYes, FactSet, UBS Quant Research

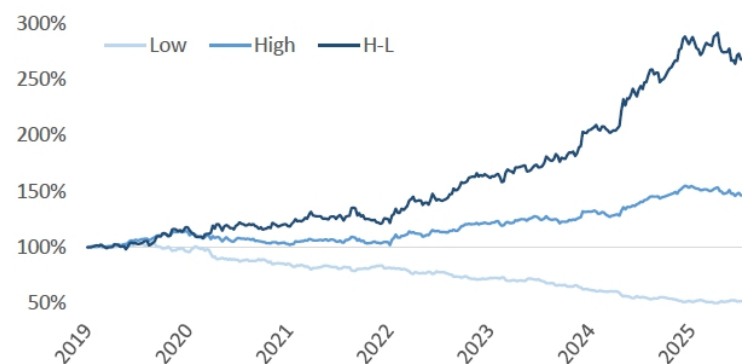
UBS Crowding Factor

- In addition to the above mentioned participant-level shareholding information, we also use the [UBS Comprehensive Crowding Factor](#) – which is based on **a proprietary combination of multiple data sources focusing on investor positioning across global markets** – as a supplementary approach to quantify the overseas and local investors in the Hong Kong market.
- It is a direct method to quantify if a stock is heavily owned, or heavily shorted, by a group of market participants.
- The crowding scores range from -30 to 30, where 30 represents a long crowded position and -30 represents short crowded.
- Crowding factor data is available on a daily basis, covering approximately 10,000 global stocks, with around 300 names in Hong Kong market.
- We recently published three notes to study the [crowding momentum](#) as an investment strategy, the market reactions to [turning points](#) of crowdedness, as well as the relative level of [crowdedness compared to network peers](#) across the global market.

UBS Crowding Factor

- In the following section we look at the factor from an alpha perspective with a simple strategy that goes long the one-third basket with highest crowding factors and short the lowest one-third.
- It is not surprising to note that more alpha has been driven by the short side, indicating that short-crowded portfolios have underperformed the benchmark by 10% per annum since 2019.

Figure 44: Performance of Crowding Factor in HK market



Source: UBS Quant Research

Figure 45: Performance statistics

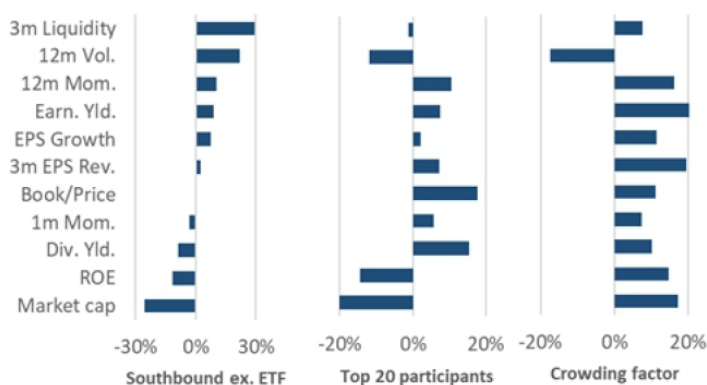
	Low	Mid	High	H-L
Annualised Return	-10%	1.3%	6%	17%
Annualised Volatility	8%	9%	8%	13%
Risk-adjusted Return	-1.2	0.2	0.8	1.3
Maximum Drawdown	-6%	-20%	-11%	-11%
Weekly Turnover	59%	69%	51%	
Average Liquidity (US\$m)	31.9	40.1	53.7	

Source: UBS Quant Research

Diverse investment preferences across cohorts

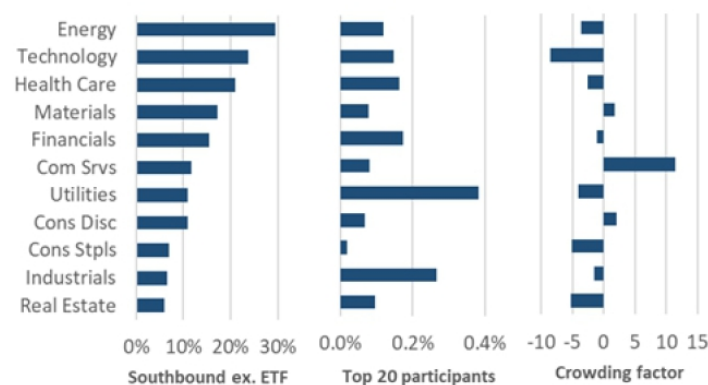
- Both Southbound and top-performing participants would have preferred small caps as of April 2026, while Southbound has been significantly overweight in **high liquidity, high volatility and high momentum** names.
- Sector-wise, Southbound investors have favoured **energy and technology**, whilst the top global participants prefer **utilities and industrials**.
- By contrast, the UBS Crowding Factor has captured that the largest long positions in Hong Kong market are in **communication services**.

Figure 46: Style preferences



Source: DataYes, FactSet, UBS Quant Research; Note: the above chart shows the correlation coefficients calculated between the style factors and the active weights or factor scores of each investor cohort; Analysis is run within the investable universe of market cap > US\$5bn and ADV > US\$5mn.

Figure 47: Sector preferences

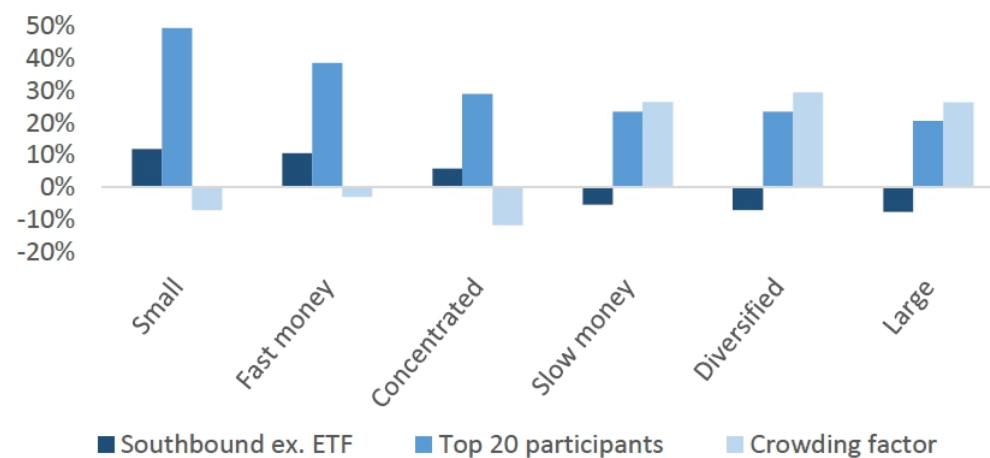


Source: DataYes, FactSet, UBS Quant Research; Note: the above chart shows the sector level percentage holding of Southbound and top 20 participants. For crowding factor, it shows the cap-weighted average scores in each sector. Analysis is run within the investable universe of market cap > US\$5bn and ADV > US\$5mn.

Diverse investment preferences across cohorts

- We attempt to label and profile each investor cohort by calculating the rank correlations between their positions and those from various types of participants in HK market.
 - Southbound ex. ETF: fast money, small participants, concentrated positions
 - Top 20 participants: **fast** money, **small** participants, **concentrated** positions
 - UBS Crowding factor: **large** global participants, **diversified** positions, **low-frequency**

Figure 48: Investor profiling by cohort



Source: DataYes, FactSet, UBS Quant Research

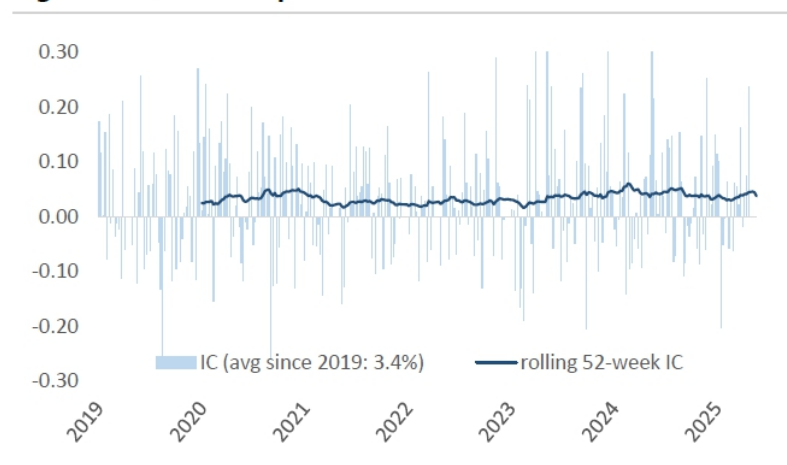
Composite Ownership factor

- In previous sections, we covered each type of market participants in Hong Kong including
 - 1) onshore Chinese investors via Southbound,
 - 2) overseas or local HK investors working with global brokers and custodian banks,
 - 3) global institutional investors captured by UBS Crowding Factor.
- In the following section, we put everything together to explore the interaction between the cohorts.
- In general, the correlation between Southbound investors from onshore China and global participants has been significantly lower, if not negative, which could be a reasonable source of diversification for an augmented model. Therefore, to capture alpha from various participant cohorts in the Hong Kong market, we incorporate:
 - **Southbound ex. ETF:** actively-managed investors from China onshore
 - **Top 20 participants:** top outperformers among overseas and local HK investors over a rolling 52-week window
 - **Crowding Factor:** proprietary combination of multiple datasets quantifying global institutional investors' positions in the Hong Kong market
 - **HK Composite Ownership Factor:** we combine the above three sources, by extracting the information content of both their positions and flows, regressing out generic factors including size, value, momentum and growth, and taking an equal-weight average across the percentile ranking of corresponding idiosyncratic views.

Composite Ownership Factor

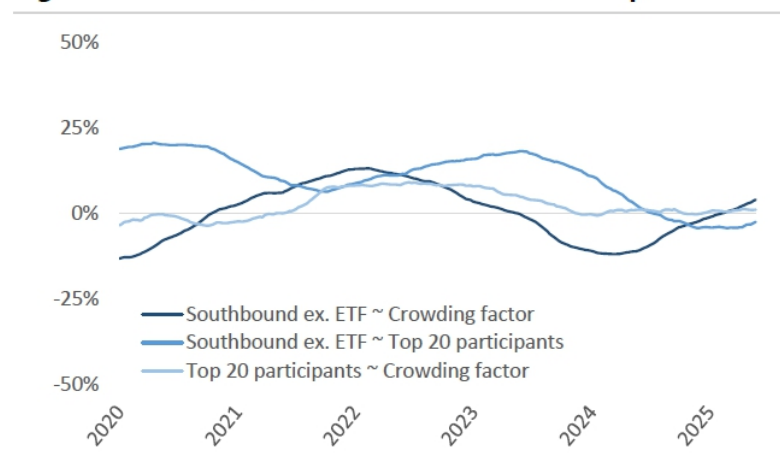
- Correlation coefficients amongst the above three signals have been fairly low to negative. With the low correlation, one of the benefits of using an augmented model is diversification.
- By bringing in diversification, we can mitigate the potential drawdowns and reduce volatilities. Therefore, we incorporate expertise from various sources and devise the Hong Kong Composite Ownership Factor.
- The composite factor has generated a reasonable level of 3.4% IC on average since 2019, but the IC has become fairly stable due to the diversification that we brought in.

Figure 49: IC of composite score



Source: DataYes, FactSet, UBS Quant Research

Figure 50: Rank correlation across the three inputs



Source: DataYes, FactSet, UBS Quant Research

Composite Ownership Factor

- Moreover, these multiple sources of information result in a more consistent and less volatile strategy. From long side only, it has generated an annualised excess return of 12% per annum since 2019, with a risk-adjusted return at 1.7, and a maximum drawdown of only 6%.
- In terms of factor loadings, we note that the strategy performance has a reasonable exposure to generic quant factors such as size, momentum, quality and growth, but by regressing out the drivers, we have derived an annualised alpha of 12% on a long-short basis with statistical significance.

Figure 51: Performance of composite score



Source: DataYes, FactSet, UBS Quant Research

Figure 52: Performance statistics

	Performance statistics			
	Low	Mid	High	H-L
Annualised Return	-9%	0.2%	12%	22%
Annualised Volatility	8%	9%	7%	13%
Risk-adjusted Return	-1.1	0.0	1.7	1.7
Maximum Drawdown	-8%	-19%	-6%	-11%
Weekly Turnover	41%	51%	35%	
Average Liquidity (US\$m)	31.7	37.5	56.9	
	Loading on generic factors			
	Low	Mid	High	H-L
Market	-0.06 (-2.17)	-0.02 (-0.99)	0.02 (0.76)	0.07 (2.06)
Size (SMB)	-0.16 (-4.63)	-0.06 (-1.91)	-0.01 (-0.35)	0.15 (3.14)
Value (HML)	-0.03 (-1.15)	0.12 (5.03)	-0.04 (-1.88)	-0.01 (-0.35)
Momentum (HML)	-0.04 (-1.75)	-0.03 (-1.69)	0.05 (2.66)	0.09 (2.96)
Quality (HML)	-0.06 (-1.49)	-0.01 (-0.20)	0.08 (2.45)	0.14 (2.63)
Growth (HML)	-0.10 (-2.96)	0.06 (1.77)	0.00 (-0.14)	0.09 (2.06)
Annualised Alpha	-2.9% (-0.90)	4.8% (1.59)	9.3% (3.34)	12.1% (2.76)

Source: DataYes, FactSet, UBS Quant Research

Section 5

Conclusion

Conclusion

- In conclusion, we studied the recent evolvments in the Hong Kong market structure:
 - We found evidence that **market liquidity and return dispersion have been improving** largely driven by the accelerated trading activities in the Southbound Stock Connect scheme.
 - With the rising significance of Southbound in the Hong Kong market, we noted a relatively higher proportion of retail investors and a rapidly growing ratio of passively managed ETFs among Southbound investors.
 - Therefore in our final model, we essentially attempt to **extract the active ideas from Southbound positioning** data, and **overlay it with idiosyncratic views from the best performing global participants** detected by two more sources of positioning information.
 - Considering the growing significance of passive ETFs in both China A-share market and the Hong Kong market, for future research, we plan to investigate in more detail the sector, style and theme specific ETFs. With more proxies based on ETF ownership intensity, flow and flow pressure, in addition to ownership, we could extract the active ideas on sector, style and theme level, instead of stock level, from both Southbound investors and global participants.
- On the UBS Quant Answers platform, we will provide three proprietary datasets for each of the above sources, including
 - **China Southbound Ownership Factors**, updated with columns of ex-ETF Southbound holdings,
 - **HK Custodian Ownership Factors**, tracking the top performing participants' positions, and
 - **UBS Comprehensive Crowding Factor**. Please contact us if you are interested in accessing the platform.

Valuation Method and Risk Statement

Our quantitative models rely on reported financial statement information, consensus earnings forecasts and stock prices. Errors in these numbers are sometimes impossible to prevent (as when an item is mis-stated by a company). Also, the models employ historical data to estimate the efficacy of stock selection strategies and the relationships among strategies, which may change in the future. Additionally, unusual company-specific events could overwhelm the systematic influence of the strategies used to rank and score stocks.

Required Disclosures

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Neutral	FSR is between -6% and 6% of the MRA.	40%	21%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 31 March 2026.

1:Percentage of companies under coverage globally within the 12-month rating category.

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